

Pre-Feasibility Study for the Establishment of an Amusement Water Park In Aqaba



2017



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1. Executive summary

Setting up the project will lead to attract high number of tourists, in addition to raise the tourism level in the city. The project will also improve investments in Aqaba and develop it.

The project aims to create a distinctive and entertaining amusement water park in Aqaba governorate, due to the lack of recreational tourist water cities as other similar tourist cities.

The economic indicators of the project are shown in the table below:

Table1 : Economic Indicators

Indicator	
Total Investment Requirement (JD)	3,384,651
Internal Rate of Return (IRR)	%28.85
Pay-Back Period (year)	4
Net present value (JD)	5,458,067
Job Opportunities provided by the project	62
Annual Revenue Projections (10 years)	17,922,259
Total Operating Expenses (10 years)	5,610,772
Net Profit (10 years)	7,223,268

2. Key Highlight of Jordan

Jordan Hashemite Kingdom area is 89342 Kilometers with a population exceed 9.8 Millions distributed among 12 Governorates.

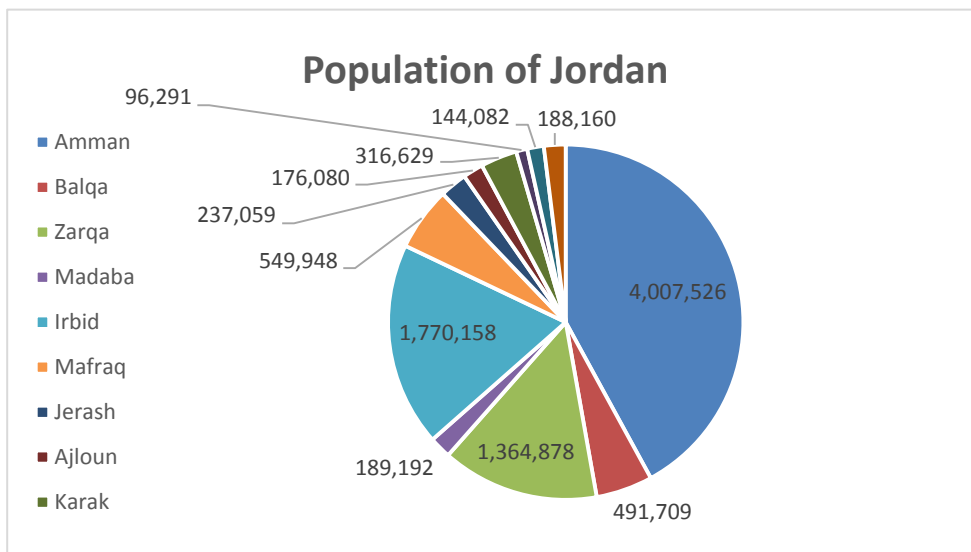
Jordan is bounded by Saudi Arabia, Iraq, Syria and Palestine from the South, East, North and west respectively. Jordan climate is mostly arid desert with rainy season between November to April Months.

Jordan is a free market economy, ranked as the fifth freest economy in the MENA region in the Index of Economic Freedom. Its free market economy enjoys strong partnerships amongst its neighboring country as well as Europe and the USA. Jordan is a signatory of several bilateral and multilateral trade agreements such as (Free Trade Agreement with the US and the EU, a Free Trade Agreement with the EFTA states, an FTA with Singapore, A member of the Greater Arab Free Trade Agreement (GAFTA) and a signatory of the Aghadir Agreement. Looking at the range of countries these agreements cover and facilitate trade between, one is confident to say that Jordan has business gateways and partnerships across the globe.

Population Overview

Based on the latest surveys done by Department of Statistics (DOS) in 2017, total number of population has reached around 9.814.995 with an increase rate of 2.88% from 2016 year, figure below summarizes the population distribution among the kingdom governorates.

Figure 1: Population of Jordan



Department of Statistics (DOS), 2015

Moreover, and based on the latest survey conducted by (DOS) which related to population nationality distribution over the governorates, it was found that total Non-Jordanian residents constitutes around 30% of the total population. Half of these are Syrians (1.3 Million) concentrated mainly in Amman Capital (436 Thousand) then Irbid (343 Thousand), Mafraq at 208 Thousand and Zarqa at 175 Thousand.

Jordan prides itself in its youthful population with 35% of ages below 15 years old and only 4% with ages above 65 years old. Table below summarizes population distribution of Jordanians according to Age Group:

Table2 : Population Distribution according to Age Group

Age Group	Population %	Males	Females
0-14 Years	%35.04	%19.2	%18.2
15-64 Years	%61.02	%30.7	%28.6
More than 65 Years	%3.94	%1.6	%1.6

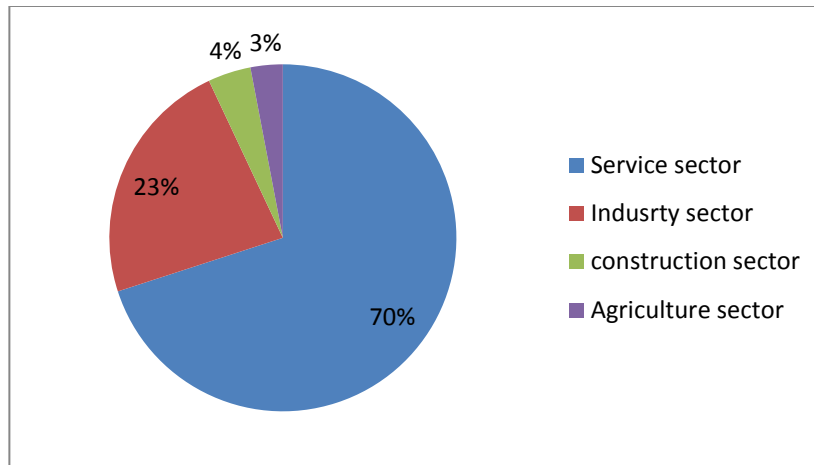
Department of Statistics (DOS), 2015.

Overview of Jordan Economy

Classified as an upper middle economy by the World Bank and as a country of High Human Development by the UNDP, Jordan is an important financial power in the Middle East. Its small market witnessed growth in the last two decades since King Abdullah II accessed the throne. Jordan's GNI per capita has increased in the last four years due to the basket of economic reforms that were enacted in the recent decade such as (the new Income Tax Law, Public Private Partnership Law and Investment Law). These laws aim to encourage the participation of the private sector in the Kingdom's economic development and provide an enabling legislative environment for current and new investment opportunities.

The Jordanian economy is overwhelmingly services oriented and its contribution in the GDP is 68.1%. The contribution of the industrial sector is 22.4%, the construction sector is 4.2% and the agricultural sector is 2.9%. These contributions are aimed to increase to (27.4%), (5.8%) and (3.4%) respectively and that of the service sector is due to decrease according to Jordan 2025 vision.

Figure 2: Sectors Contribution to Jordan's Economy



Jordan's exports include variety of textiles, potassium, phosphates, fertilizers, vegetables and pharmaceutical products. While it's main imports are crude and refined petroleum. Distinguished by its strategic location, on the crossroads between Asia, Africa and Europe with strong connections to the Levant and the GCC, Jordan has a regional market of interest that represents US\$3.8 trillion market and comprising 380 million consumers.

Jordan infrastructure ranks comparatively well (38th out of 148 comparable economies), with an extensive 8000 KM road network connecting Jordan domestically and externally The new Queen Alia International Airport and the Port of Aqaba are the major gateways to the international market. In addition to some mega projects such as the Red- Dead Sea Canal and the national railway network that will be developed to position Jordan as a hub for regional commerce.

Jordan banking system is quite sophisticated, resilient and in compliance with international standards, making it very attractive and trustworthy to investors. This is reflected in the fact that 50% of equity in licensed banks in Jordan is held by non-Jordanians, and non residents' deposits in Jordanian banks witnessed a steady growth of 19.2%.

Moreover, realizing the value of MSMEs to drive economic growth, the government has developed the national Strategy for the encouragement of entrepreneurship and the development of micro small and medium sized enterprises for 2015-2019. This shows the commitment of the Jordan government to enhance the private sector development and leveraging the country's strong human capital.

Jordan prides itself in its youthful population. It's the country most valuable capital. A tech savvy well educated and trained workforce attracts a lot of investors to Jordan. More than 20.4% of Jordan's GDP is dedicated to the education and capacity building for the labor force, this has resulted in securing a 91% literacy rate and enabled Jordanians to be among most hired and qualified middle-eastern workforce.

Such solid, diverse and resilient characteristics of the Jordanian economy and investment scene position Jordan as a competitive investment destination.

Major Economic Indicators

- **GDP Growth**

The Jordanian economy slowed and reached 2.4 percent in 2015 compared to growth rate of 3.1 in 2014 and similar to MENA growth rates.

The growth also slowed for trade, restaurants and hotels; manufacturing; transport; and electricity and water. Meanwhile, finance, insurance, and business services advanced at a faster pace.

- **Inflation rate**

Inflation rate decreased to 0.9 in 2015 after 2% decline in the previous year. Inflation Rate in Jordan averaged 3.1 percent from 2011 until 2015.

- **Unemployment**

The unemployment rate in Jordan was recorded at 13 percent in 2015, comparing to 11.9 percent a year earlier. This increase due to the current instability in the labor market structure as well as high competition from low cost foreign labors especially from Syria.

- **External Sector**

A number of risks manifested in 2015, the closure of land trade routes with Syria and Iraq and the deepening instability in the region adversely impacted many external sector indicators such as trade, tourism and direct Investment.

Moreover, loans disbursements increased by JD 545.3 million, due to the use of the International and Arab Monetary Funds (IMF and AMF) credit facilities. As an outcome of these developments, the overall balance of the balance of payments registered a surplus of JD 328.7 million in 2015, compared with a surplus of JD 1,550.7 million in 2014.

Further, net international investment position (IIP) witnessed an increase in the Kingdom's net obligations to abroad; to reach JD 24,357.5 million, compared to a net obligation of JD 22,578.8 million at the end of 2014 as a result of the increase in the stock of external financial assets and liabilities of all resident economic sectors to reach JD 18,657.9 million and JD 43,015.5 million; respectively.

External Debt in Jordan increased to 9390.50 JOD Million in 2015 from 8030.10 JOD Million in 2014. External Debt in Jordan averaged 5433.67 JOD Million from 1988 until 2015, reaching an all time high of 9390.50 JOD Million in 2015 and a record low of 3640.20 JOD Million in 2008.

Investment Climate in Jordan

Investment in Jordan is considered as one of the vital sources to boost the economy considering that Jordan's economy is among the smallest in the Middle East, with insufficient supplies of water, oil, and other natural resources, underlying the government's heavy reliance on foreign assistance.

The country's location, supported by myriad free trade agreements (FTAs) offering access to 1.5bn consumers, enables the kingdom to be a strategic trade route to many of its neighboring countries and regions.

Jordan aspires to create a competitive investment destination capitalizing on its many advantages mentioned above. The government focused its efforts to implement significant advances in structural and legal reform. These efforts are represented in the new Investment Law of 2014, the tax law, in addition to other endeavors related to providing greater access to credit for MSMEs, and by providing greater investment incentives to specific priority sectors identified by the new Investment law and the Jordan 2025 vision.

furthermore, in its endeavor to enhance the business environment, several geographically industrial states were created across the kingdom. These range in type to include (industrial estates, free zones and special economic zones). Under the new Investment Law, these zones are given a number of incentives that include a tax rate of 0% on exports, sales tax, import duties, social service tax, dividends tax and a 5% income tax from all economic and manufacturing activities undertaken in the development zones. As for the investments in Free Zones, they enjoy Exemptions from customs duties, income tax exemptions and exemptions from land and building taxes among others. Both development and free zones also enjoy facilitations regarding visa and residency permits for investors and workers in addition to Repatriation of capital and profits in a convertible currency. Such estates have succeeded in attracting relatively large amounts of FDI to Jordan.

Key National Investment Priorities:

Jordan Investment commission worked on taking a leading role in the application of government policies to promote and attract domestic and foreign investments and create an investment environment that stimulates economic performance through investment promotion strategy launched in 2016

Jordan investment commission aims to:

- Regulating the special provisions governing Development Zones and Free Zones in the Kingdom and developing them placing them in service of the national economy as well as monitoring their functioning.
- Developing plan and programs to stimulate domestic and foreign investments.
- Establishing trade centers and organizing exhibitions as well as opening markets and organizing trade missions in order to promote national products, in addition to marketing and development of national exports and encouraging investment.
- Taking appropriate decisions related to private or public institutions to improve Investors' confidence in Jordan's investment environment.

3. Market analysis

Project description

The project aims to build an amusement water park that provides fun and entertainment for visitors, taking into consideration public safety.

All the games in the park are unique and different of high quality, and suitable for all ages.

There will also be a restaurant and cafe to provide food and beverages.

The project will be in located Aqaba due to its tourist characteristics, its convenient location near the red sea and the beautiful weather that makes it suitable for building amusement water parks.

The park will include many internal and external pools for adults and children; also it will include distinctive water games.

The project contains:

- Reception and reservations hall
- 5 swimming pools for children and adults (one for children who are below 5 years of age , one for the ages between 5-13 years, two for adults , and one relaxing pool)
- 2 indoor pools
- Indoor hall that contains : (6 electronic games , billiards , and bowling alley)
- Water games (3 playing areas , 1 for children and 2 for adults)

- A small clinic to provide first aid
- Parking
- Fitting rooms
- Bathrooms
- Showers
- Restaurants
- Seating areas for families
- Prayer room

Project objectives

Project Objectives:

- Achieve profit return to the project's owners
- Attract tourists and foreigners to the city
- Utilize the good weather and coastal city
- Provide job opportunities for Aqaba residents

Proposed service

A water amusement park will be created in Aqaba, containing different water games, swimming pools for children and adults, a restaurant, and a mini market.

Target Segments

The project will focus on targeting local residents, tourists and visitors.

Market size analysis

Despite the fact that Aqaba is a coastal city and a tourist attraction area, it lacks the presence of a water amusement park, whereas most water games in Aqaba exist in hotels on a small scale without a special dedicated area for water games.

The project is considered the first of its kind as a water amusement park with many additional services, which will be available at competitive prices for Aqaba residents and visitors coming from inside and outside of Jordan.

The following table shows number of Aqaba tourists and visitors(2015-2016):

Table 3: number of Aqaba tourists and visitors for years (2015-2016)

Quarter	2015			2016		
	Overnight visitors	One day visitors	Total	Overnight visitors	One day visitors	Total
First quarter	994,404	426,233	1,420,637	1,025,222	343,718	1,368,940
Second quarter	1,127,739	387,627	1,515,366	1,227,427	415,330	1,642,757
Third quarter	1,202,270	412,349	1,614,619	1,164,215	395,382	1,559,598
Fourth quarter	1,015,482	361,703	1,377,185	972,038	315,816	1,287,854
Total	4,339,896	1,587,913	5,927,809	4,388,904	1,470,247	5,859,152

(Source: Ministry of tourism and Antiquities)

Competitors analysis

Water amusements parks are not common in Jordan. However such parks do exist in different sites in Jordan, but not in Aqaba.

Water parks in the Kingdom are:

- Amman waves: located in Amman, airport road.
- Lagoon Hotel & Resort: located at the Dead Sea
- Al-Wade Resort: Located at the Dead Sea
- Irbid Aqua Park: located in Irbid

Price analysis and pricing policy

- After studying the cost of water parks in Jordan and taking into consideration the provided services, the following rates have been identified:
- For adults: 25 JD

- For children 3-13 years:19 JD
- 3 years and under: Free

Expected occupancy rate

After analyzing the size of the project and based on market analysis, we found that the project capacity is 3,240,000 visitors/ year, as shown in the below table:

Table4 : expected occupancy from the project capacity

Year	first	Second	Third	Fourth	Fifth	Sixth	Seventh	Eighth	Ninth	Tenth
Maximum Capacity	3240000	3240000	3240000	3240000	3240000	3240000	3240000	3240000	3240000	3240000
Expected Capacity	1.0%	1.5%	1.53%	1.56%	1.6%	1.63%	1.67%	1.7%	1.74%	1.78%
Total visitors	32400	48600	49669	50762	51879	53020	54186	55379	56597	57842

Expected Revenues

Project annual revenue projection:

As explained in the table above, the target in the first year is 1% of the maximum capacity, whereas the total number of park visitors is 32,400 and is expected to increase by 1.78% in the tenth year. Based on that, expected income is determined as follows:

- Adults' entrance fees revenue: 25 JD * 40% (adults visitors percent) * 32,400 = 324,000 JD
- Children entrance fees revenue: 19 JD * 50% (children visitors percent) * 32,400 = 307,800 JD

The table below shows the project revenue analysis for the ten years of the project's life:

Table 5: project revenue analysis

Revenue sources	2018	2019	2020	2021	2022
Adults interence fees	25	26	27	27	28
Children interence fees (3–13 years)	19	20	20	21	21
Children interence fees (0–3 years)	0	0	0	0	0
Total project capacity	3240000	3240000	3240000	3240000	3240000
Target percentage of the project's capacity	1.000%	1.500%	1.533%	1.567%	1.601%
Adults percentage	40.00%	40.00%	40.00%	40.00%	40.00%
Children percentage (3–13 years)	50.00%	50.00%	50.00%	50.00%	50.00%
Children percentage (0–3 years)	10.00%	10.00%	10.00%	10.00%	10.00%
Total visitors number	32400	48600	49669	50762	51879
Facilities' users percentage	50%	60%	75%	75%	75%
Individual spending rate (restaurants, mini market)	15	15	16	16	17
Interance fees income	631,800	976,131	1,027,534	1,081,644	1138603
Companions interance fees income	243,000	450,522	592,808	624,025	656887
Total Revenues	874,800	1,426,653	1,620,342	1,705,669	1795490

Revenue sources	2023	2024	2025	2026	2027
Adults interence fees	29	30	31	32	33
Children interence fees (3-13 years)	22	23	23	24	25
Children interence fees (0-3 years)	0	0	0	0	0
Total project capacity	3240000	3240000	3240000	3240000	3240000
Target percentage of the project's capacity	1.636%	1.672%	1.709%	1.747%	1.785%
Adults percentage	40.00%	40.00%	40.00%	40.00%	40.00%
Children percentage (3-13 years)	50.00%	50.00%	50.00%	50.00%	50.00%
Children percentage (0-3 years)	10.00%	10.00%	10.00%	10.00%	10.00%
Total visitors number	53020	54186	55379	56597	57842
Facilities' users percentage	75%	75%	75%	75%	75%
Individual spending rate (restaurants, mini market)	17	18	18	19	20
Iterance fees income	1198562	1261679	1328119	1398057	1471679
Companions interance fees income	691478	727891	766222	806571	849046
Total Revenues	1890040	1989570	2094341	2204629	2320724

4. Technical analysis

Required Human Resources

The following table shows the number of employees who will be working on the project:

Table 6: Required Human resources

Job title	Number
General Manager	1
Accountant	1
Marketing Officer	1
Security Controller	10
Guard	2
Surveillance and control	3
Maintenance technician	4
Total indirect employees	22
Receptionist	4
Tickets Teller	9
Games staff	18
Doctor	1
Nurse	1
Parking employees	2
Restaurant employees	5
Total direct employees	40
Total employees	62

Location Analysis

The project will be established in Aqaba due to its convenient location near the Red Sea and its beautiful climate all year round, which will help target more tourists.

It will be located in the South Shore area adjacent to the sea, where the project will overlook the Red Sea and the Gulf of Aqaba.

Technical Requirements Analysis

Land and construction works

The project will be established on a 8,000 m² area. The following table shows the land requirements:

Table7 : Required Land

Land	Area m2
Required land	8,000

As for constructions work required for the project are detailed as follows:

Table 8: Required Construction work

Construction work	Area m2
Buildings work	900
Park design schemes	8,000
Excavation work	1,500
Asphalte works	100
Soil test	-
Restaurant	1,000
Cafeteria	30
Bathrooms	500
Other works	500

Machinery and equipment

The following table shows the machinery and equipment needed for the project:

Table 9: Machinery and equipment

Machinery and equipment	Number
Floating games for children	3
Inflatable water games equipment	8
Tsunami pool	1
Fiberglass Waterslide	1
Large water floaters	4
Different games	8
Skiing equipment (m)	1200
Floating games area for adults	3
Boats	20
Children boats	20

Furniture and furnishings

The project needs the following furniture and furnishings:

Table 10: furniture and furnishing

furniture and furnishings:	Number
Office furniture	3
TV	5
Booths	5
Sweileh Sand	2
Clinic supplies	1
Kitchens	1
Restaurant tables	30
Restaurant chairs	150
Restaurant cooking equipment	1

Vehicles and transportation

The following table shows the list of vehicles and transportation required for the project:

Table 11: Required vehicles and transportation

Vehicles and transportation	Number
Pick-up	1

Legal procedures

Step 1: Application Submission

Registration process begins by filling a registered institution form. The form requires from organizations/companies to state their legal form and provide details about the economic activity suggested to be established in Aqaba Special Economic Zone.

Step 2: Registration Certificate

Upon receiving the approval on the application and payment of the identified fees, the Aqaba Special Economic Zone shall issue a registration certificate of a registered institution that includes a registration number, which gives the institution the right to import goods free of duties to the Aqaba Special Economic Zone.

Furthermore, a Services Officer can be appointed (if needed) to help the registered organization and provide support by the Aqaba Special Economic Zone Authority.

Note: registration is optional and is only necessary for those that want to benefit from the advantages of the Aqaba Special Economic Zone law. After registration, the registered institution should start the licensing process to obtain the necessary certification to work in the region during 30 days from the date of registration.

The Directorate of Investment in Aqaba Special Economic Zone Authority will work on assisting investors and facilitate the process of obtaining all permits, certificates and environmental approvals for the establishment and management of various economic projects in the region. All institutions executes an economic activity in the Aqaba Special economic zone should get a public health certificate and general safety certificate and environmental approval.

Aqaba Special Economic Zone Authority's law requires obtaining a building permit before any structural operations or modifications or expansion in buildings and houses, as well as getting permission to stay in the facilities and deliver services.

Step 3: Approval of the preliminary design

Regulations Directorate shall provide "silte schemes" for the interested investor, which shows the building systems, the site standards and the land classification in the Aqaba Special Economic Zone. The investor must submit a preliminary design for the buildings licenses department. If approved by the local Committee on the initial design and provide observations, the investor can complete the detailed engineering design schemes.

Step 4: Review the detailed engineering design

All investors must submit a detailed engineering design for (building permits section), whereby the department shall reviews the designs to ensure alignment with the architectural, engineering and safety standards. Accordingly, it shall either approve the designs submitted are approved or the investor shall be notified if the schemes need further adjustments.

Step five: construction phase

Upon receipt of approval and payment of fees required to obtain a building permit, an investor can begin with the construction work.

Step 6: work permission

All investors must obtain work permission upon completion of the construction phase and before using the building. (Building permits section) observes the construction work to make sure alignment with licensing requirements, where the user can then deliver public services and start using the building.

5. Financial analysis

The Financial Part illustrates all the assumptions which were used when we have developed the study including project expenses related to capital expenditures, operating expenses (Fixed and Variable costs) followed by illustrating project revenues.

Assumptions

Calculation Assumptions:

- The weighted average cost of capital used in the study is 11.98% as it was calculated considering risk free and debt Interest rates as well as Market risk premiums to consider alternative opportunity costs for investor.
- Income tax on the net project income is 5 % during the life time of the project.
- Project working capital has been estimated and added to project cash outflows at the beginning of the project and annual increase in working capital has been also estimated

and added to the operating expenses then net working capital has been added to total cash inflows at the end of project lifetime.

The time span for the financial study is 10 years starting from 2018, where annual increase rates have been estimated as per the tables below:

Assumptions

Table 12: General Assumptions

General Information	
All Financial Numbers (Currency)	Jordan Dinars
Financial Study Time Span (Years)	10
Expected Project First Operating Year	2018
Last Year in the Financial Study	2027

Table 13: Currency Exchange Rates

Exchange Rates	Jordan Dinars
American Dollar	0.708
Euro	0.760

Table 14: Annual Growth Rates Assumptions

Annual Growth Rates	Average
Annual Population Growth Rate	2.20%
Annual Sales Price Increase Rate	3.00%
Annual Expenses Increase Rate	3.00%
Annual Increase Rate in Employees Salaries	4.1%

(1) and (2) Source: Inflation Rates, Central Bank of Jordan

(3) Source: Social Security

Table 15: Expenses Assumptions

Expenses Assumptions	
Raw Materials and Packaging from Total Revenues	%1
Utilities Expenses from Total Revenues	%10
Maintenance Expenses from Total Revenues	%2.5
Depreciation Expenses from Total Revenues	0.1%
Insurance Expenses from Total Assets Value	0.10%
Marketing Expenses from Total Revenues	2.5%

جدول 1 : فرضيات ضريبة الدخل

Table 16: Income Tax Assumptions

Income Tax Assumptions	Value
Average Income Tax in Jordan (1)	5%
Income Tax Deduction (2)	0%
Income Tax after Deduction	5%
Compulsary Reserve Percentage (3)	10%
Other Assumptions	Value
Annual Monthly Salaries have been calculated after multiplying monthly salaries by: (1)	14

Table 17: Risk Premium

Risk Premium	
(1) Risk Free Rate of Return	6.50%
(2) Return to Debt Maturity	9.48%
(3) Market Risk Premium	10.12%
Income Tax Rate	%20
(4) Beta	0.89
Growth Rate	4.00%

(1) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(2) Source :Central Bank of Jordan

(3) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(4) Source :Damodoran Beta By Sector,, pages.stern.nyu.edu

Table 18: Weighted Average Cost of Capital

Weighted Average Cost of Capital	
Average Return on Risk Free Investment	%6.50
Return to Debt Maturity	%9.48
Market Risk Premium	%9.93
Income Tax Rate	%5
Bets	1.00
Equity	1,353,860
Loans Value	2,030,790

Loans	
Cost of Borrowing before Tax	%9.48
Cost of Borrowing After Tax	%9.01
Loans Value	2,030,790
Loans Percentage	%60
Equity	
Cost of Equity	%16.4
Equity Value	1,353,860
Equity Percentage	%40
Gross	
Project Value	3,384,651
Weighted Average Cost of Capital	%11.98

Capital Expenditures

The estimated cost of the project is 3,384,651 JD and it covers land costs, construction works, machinery and equipment, furniture, pre-operating expenses and working capital. The following tables summarize the details of these expenses:

Table 19 :Land Capital Expenditure

Land	(Jordan Dinar/Meters Square) Cost	Area (M2)	Cost
Required Land	150	8,000	1,200,000
Cost			1,200,000

Table 20: Construction Work Capital Expenditure

Description	Cost (JOD per Squared	Area	Gross
Construction Works	350	900	315,000
Design and blueprints	7	8,000	56,000
Excavation	5	1,500	7,500
Paving	12	100	1,200
Soil Test	200	-	200
Restaurant	350	1,000	350,000
Cafeteria	300	30	9,000
Bathrooms	300	500	150,000
Other Works	300	500	150,000
Total			1,038,900

Table 21: Machinery capital expenses

Machinery and equipment	No.	Price/unit	Total (JD)
Floating games area/children	3	2,690	8,071
Inflatable water games equipment	8	3,186	25,488
tsonami pool	1	70,000	70,000
Fiberglass Waterslide	1	29,736	29,736
Large water flowters	4	17,700	70,800
Differernt games	8	2,124	16,992
Skiing equipment (m)	1200	248	297,360
Floating games area/adults	3	5,664	16,992
Boats	20	531	10,620
Children boats	20	480	9,600
Total			555,659

Table 22: Furniture Capital expenses

furniture and furnishings:	No.	Price/unit	Total (JD)
Office furniture	3	500	1,500
TV	5	200	1,000
Booth	5	250	1,250
Sand	2	300	600
Clinic supplies	1	500	500
Kitchens	1	30,000	30,000
Restaurant tables	30	150	4,500
Restaurant chairs	150	50	7,500
Restaurant cooking equipment	1	1,000	1,000
Total			47,850

Table 23: Transporation and Vehicles Capex

Transporation and Vehicles	No	Unit Cost/JOD	Total Cost/JOD
Pick up	1	23,400	23,400
Total			23,400

Table 24: Pre Operating Expenses

Pre-operating expenses	Estimated cost (JD)
Governmental fees	1,500
Transportation	1,500
Marketing	10,000
Training	2,500
Total	15,500

The initial working capital reflects the project's amounts needed to cover all the expenses during operation until the project starts generating income, the following table shows the components of the initial working capital:

Table 25: Working Capital

Working Capital	No. of Months	%	Estimated Cost (JD)
Operating expenses	4	%33	124,583
General and administrative expenses	4	%33	5,373
Marketing expenses	4	%33	7,290
Indirect Salaries	4	%33	58,400
Total			195,646

Table 26: Expenses Summary

Capital expenditure summary	Cost (JD)	Contingency	Cost (JD)	%
Land	1,200,000	10%	1,320,000	%39.0
Construction works	1,038,900	10%	1,142,790	%33.8
Machinery & Equipment	555,659	10%	611,225	%18.1
Furniture	47,850	10%	52,635	%1.6
Vehicles	23,400	10%	25,740	%0.8
Pre-Operating Expenses	15,500	10%	17,050	%0.5
Working capital	195,646	10%	215,210	%6.4

Capital expenditure summary	Cost (JD)	Contingency	Cost (JD)	%
Total (JD)	3,076,955		3,384,651	100%

Sources of Funding

The financing structure of the project consists of loans and Equity. The investment cost of this project is estimated at (1,101,578) JD, where 60% of the project will be financed through loans (2,030,790) JD, and the remaining (40%) through (Equity) with (1,353,860) JD. The following table summarizes the general structure of the required financing:

Table 27: Sources of Funding

Funding Sources	Amount	Percentage
Equity (Self Financing)	1,353,860	40%
Loans	2,030,790	60%
Total	1,101,578	100%
Use of Fund:	Value	Ratio
Capital Expenditures	3,152,390	93.14%
Pre-Operating Expenses	17,050	0.5%
Working Capital	215,210	6.36%
Total	3,384,651	100%

Operating Expenses

The following table summarizes the expected operating expenses for the proposed project (2018-2027):

Table 28: Operating Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Raw Materials and Packaging from Revenues	8,748	14,267	16,203	17,057	17,955	18,900	19,896	20,943	22,046	23,207
Utilities from Revenues	87,480	142,665	162,034	170,567	179,549	189,004	198,957	209,434	220,463	232,072
Maintenance from Revenues	21,870	35,666	40,509	42,642	44,887	47,251	49,739	52,359	55,116	58,018
Disposables from Revenues	875	1,427	1,620	1,706	1,795	1,890	1,990	2,094	2,205	2,321
Direct Salaries	220,800	229,853	239,277	249,087	259,300	269,931	280,998	292,519	304,512	316,997
Others	33,977	42,388	45,964	48,106	50,349	52,698	55,158	57,735	60,434	63,262
Total	373,750	466,265	505,608	529,164	553,835	579,674	606,738	635,084	664,776	695,877

General and Administrative Expenses

The following table summarizes the expected general and administrative expenses for the proposed project (2018-2027):

Table 29: General and Administrative Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Telecom	2,500	2,575	2,652	2,732	2,814	2,898	2,985	3,075	3,167	3,262
Hospitality	3,500	3,605	3,713	3,825	3,939	4,057	4,179	4,305	4,434	4,567
Stationary and Printing	1,000	1,030	1,061	1,093	1,126	1,159	1,194	1,230	1,267	1,305
Transportation	1,500	1,545	1,591	1,639	1,688	1,739	1,791	1,845	1,900	1,957
Training	0	0	0	0	0	0	0	0	0	0
Insurance	3,000	3,090	3,183	3,278	3,377	3,478	3,582	3,690	3,800	3,914
Miscellaneous	3,152	3,247	3,344	3,445	3,548	3,654	3,764	3,877	3,993	4,113
Total	1,465	1,509	1,554	1,601	1,649	1,699	1,750	1,802	1,856	1,912

Marketing Expenses

Table 30: Marketing Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
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Marketing Expenses	21,870	35,666	40,509	42,642	44,887	47,251	49,739	52,359	55,116	58,018
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Human Resources

The total annual salaries and monthly wages has been estimated on 16 months for the purpose of considering annual increments on salaries as well as payments related to social security and health insurance,... etc.

The following table summerizes the expected annual salaries and wages, considering annual increment on salaries as per the income statement:

Table 31: Expected number of employees and their salaries

Job Title	No.	Monthly Salary	Total Monthly	Total Annual salaries
Indirect Staff				
General Manager	1	2,500	2,500	40,000
Accountant	1	600	600	9,600
Marketing Officer	1	900	900	14,400
Security	10	350	3,500	56,000
Guard	2	250	500	8,000
Monitor and control	3	450	1,350	21,600
Maintenance technician	4	400	1,600	25,600
Total indirect employees	22		10,950	175,200
Direct Staff				

Job Title	No.	Monthly Salary	Total Monthly	Total Annual salaries
Receptionist	4	300	1,200	19,200
Selling I tickets employee	9	350	3,150	50,400
Games staff	18	350	6,300	100,800
Doctor	1	700	700	11,200
Nurse	1	450	450	7,200
Parking employee	2	250	500	8,000
Restaurant employee	5	300	1,500	24,000
Total direct employees	40		13,800	220,800
Total employees	62		24,750	396,000

Table 32: Expected Annual Salaries

Indirect Staff	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
General Manager										
Accountant	40,000	41,640	43,347	45,124	46,975	48,901	50,905	52,993	55,165	57,427
Marketing Officer	9,600	9,994	10,403	10,830	11,274	11,736	12,217	12,718	13,240	13,782
Security	14,400	14,990	15,605	16,245	16,911	17,604	18,326	19,077	19,860	20,674
Guard	56,000	58,296	60,686	63,174	65,764	68,461	71,268	74,190	77,231	80,398
Monitor and control	8,000	8,328	8,669	9,025	9,395	9,780	10,181	10,599	11,033	11,485
Maintenance technician	21,600	22,486	23,408	24,367	25,366	26,406	27,489	28,616	29,789	31,011
Total indirect employees	25,600	26,650	27,742	28,880	30,064	31,296	32,579	33,915	35,306	36,753
Direct Staff	175,200	182,383	189,861	197,645	205,749	214,184	222,966	232,108	241,624	251,531

Indirect Staff	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Receptionist										
Selling I tickets employee	19,200	19,987	20,807	21,660	22,548	23,472	24,435	25,436	26,479	27,565
Games staff	50,400	52,466	54,618	56,857	59,188	61,615	64,141	66,771	69,508	72,358
Doctor	100,800	104,933	109,235	113,714	118,376	123,229	128,282	133,541	139,017	144,716
Nurse	11,200	11,659	12,137	12,635	13,153	13,692	14,254	14,838	15,446	16,080
Parking employee	7,200	7,495	7,803	8,122	8,455	8,802	9,163	9,539	9,930	10,337
Restaurant employee	8,000	8,328	8,669	9,025	9,395	9,780	10,181	10,599	11,033	11,485
Total direct employees	24,000	24,984	26,008	27,075	28,185	29,340	30,543	31,796	33,099	34,456
Total employees	220,800	229,853	239,277	249,087	259,300	269,931	280,998	292,519	304,512	316,997
Indirect Staff	396,000	412,236	429,138	446,732	465,048	484,115	503,964	524,627	546,136	568,528

Depreciations

The following tables illustrate cost of Capex and Depreciation rates:

Table 33: Capex and Depreciation Expenses

Capex Cost and Annual Depreciation Rates	Cost (JOD)	Depreciation Rate	Annual Additions Percentage
Land	1,320,000	%0.0	%0.0
Construction Works	1,142,790	%5.0	%0.0
Machinaries	611,225	%10.0	%2.0
Furniture	52,635	%10.0	%5.0

Vehicles	25,740	%10.0	%0.0
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Table 2 Depreciations and Additions on Construction Works

Capex, Annual Additions and Depreciations	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total Fixed Assets	3,152,39	3,167,24	3,182,47	3,198,09	3,214,11	3,230,54	3,247,40	3,264,69	3,282,44	3,300,65
Total Depreciation Expenses	126,100	127,585	129,108	130,670	132,272	133,915	135,601	137,330	139,105	140,926
Total Accumulated Depreciation	126,100	253,685	382,793	513,463	645,736	779,651	915,252	1,052,58	1,191,68	1,332,61
Total Additions	0	14,856	15,232	15,620	16,019	16,431	16,856	17,294	17,745	18,211
Total Net Book Values	3,026,29	2,913,56	2,799,68	2,684,63	2,568,38	2,450,89	2,332,15	2,212,11	2,090,75	1,968,04
Loan										

The table below summarizes all details related to the loan such as annual installments and payment methods for the remaining amount of the loan for each year of the project.

Table 34: Loan Details

Loan Value	2,030,790
Annual Interest Rate	9.48%
Loans Period	5
Grace Period	2018

Loan Starts at year:	528,619
Annual Payment	5
Number of Payments	2,030,790

Year	Annual Payment	Interest	Capital	Loan Remaining Value
2018				2,030,790
2019	528,619	192,519	336,101	1,694,690
2020	528,619	160,657	367,963	1,326,727
2021	528,619	125,774	402,846	923,881
2022	528,619	87,584	441,036	482,846
2023	528,619	45,774	482,846	0

Income Statement

Table 35: Income Statment

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Revenues										
Sales Revenues	874,80	1,426,65	1,620,34	1,705,66	1,795,49	1,890,04	1,989,57	2,094,34	2,204,62	2,320,72
Gross Operating Revenues	874,80	1,426,65	1,620,34	1,705,66	1,795,49	1,890,04	1,989,57	2,094,34	2,204,62	2,320,72
Operating Expenses	373,75	-466,265	-505,608	-529,164	-553,835	-579,674	-606,738	-635,084	-664,776	-695,877

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Gross Operating Profit	501,05	960,388	1,114,73	1,176,50	1,241,65	1,310,36	1,382,83	1,459,25	1,539,85	1,624,84
Gross Profit Percentage	%57	%67	%69	%69	%69	%69	%70	%70	%70	%70
Salaries and Benefits (Indirect Staff)	175,20	-182,383	-189,861	-197,645	-205,749	-214,184	-222,966	-232,108	-241,624	-251,531
General and Administraive Expenses	-16,118	-16,601	-17,099	-17,612	-18,141	-18,685	-19,245	-19,823	-20,417	-21,030
Markeing Expenses	-21,870	-35,666	-40,509	-42,642	-44,887	-47,251	-49,739	-52,359	-55,116	-58,018
Pre Operating Expenses	-17,050									
Gross Indirect Expenses	230,23	-234,651	-247,469	-257,899	-268,776	-280,120	-291,950	-304,289	-317,157	-330,578
Income before Interest, Depreciation and	270,81	725,737	867,266	918,606	972,879	1,030,24	1,090,88	1,154,96	1,222,69	1,294,26
Fixed Assets Depreciations	126,10	-127,585	-129,108	-130,670	-132,272	-133,915	-135,601	-137,330	-139,105	-140,926
Income before Tax and Interests	144,71	598,152	738,158	787,936	840,606	896,331	955,281	1,017,63	1,083,59	1,153,34
Bank Interests	192,51	-160,657	-125,774	-87,584	-45,774	-0	-0	-0	-0	-0
Income Before Tax	-47,806	437,495	612,384	700,352	794,832	896,331	955,281	1,017,63	1,083,59	1,153,34
Income Tax	0	-19,484	-30,619	-35,018	-39,742	-44,817	-47,764	-50,882	-54,180	-57,667
Net Profit	-47,806	418,011	581,765	665,334	755,091	851,514	907,517	966,755	1,029,41	1,095,67
Net Profit Percentage	%5-	%29	%36	%39	%42	%45	%46	%46	%47	%47
Compulsory Reserves	0	-41,801	-58,176	-66,533	-75,509	-85,151	-90,752	-96,676	-102,941	-109,568
Retained Earnings	-47,806	328,404	851,992	1,450,79	2,130,37	2,896,73	3,713,50	4,583,58	5,510,05	6,496,16

Expected Cashflows Statement

Amusement Water Park In Aqaba

The table below summarizes project cashflows statement, where net cash flows are positive during all years as below:

Table 36: Expected Cashflows

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Cash Inflows from Operating Activities										
Net Profit	-47,806	418,011	581,765	665,334	755,091	851,514	907,517	966,755	1,029,41	1,095,67
Bank Interests	192,519	160,657	125,774	87,584	45,774	0	0	0	0	0
Depreciation	126,100	127,585	129,108	130,670	132,272	133,915	135,601	137,330	139,105	140,926
Total Operating Cashflows before	270,812	706,252	836,647	883,589	933,137	985,430	1,043,11	1,104,08	1,168,51	1,236,60
Inventory (Increase/Decrease)	-729	-460	-161	-71	-75	-79	-83	-87	-92	-97
Accounts Payables	60,834	14,499	6,234	3,784	3,962	4,149	4,345	4,550	4,765	4,990
Working Capital (Increase/Decrease)	60,105	14,040	6,073	3,713	3,887	4,070	4,262	4,463	4,673	4,893
Net Cashflows from Operating	330,917	720,292	842,720	887,301	937,024	989,500	1,047,38	1,108,54	1,173,18	1,241,49
Cashflows from Investments Activities										
Fixed Assets (Procurement)	3,152,390	-14,856	-15,232	-15,620	-16,019	-16,431	-16,856	-17,294	-17,745	-18,211
Net Cashflows from Investments	3,152,390	-14,856	-15,232	-15,620	-16,019	-16,431	-16,856	-17,294	-17,745	-18,211
Cashflows from Financing Activities										
Capital	1,353,860									
Loan Amortization	-336,101	367,963	402,846	441,036	-482,846	0	0	0	0	0
Bank Interest Rate	-192,519	160,657	125,774	-87,584	-45,774	-0	-0	-0	-0	-0
Loans	2,030,790	0	0	0	0	0	0	0	0	0

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net Cashflows from Financing	2,856,031	528,619	528,619	528,619	-528,619	0	0	0	0	0
Net (Increase/Decrease) in Cash	34,558	176,816	298,868	343,062	392,385	973,069	1,030,52	1,091,25	1,155,44	1,223,28
Cashflows at the Beginning of Period	0	34,558	211,374	510,242	853,304	1,245,69	2,218,75	3,249,28	4,340,53	5,495,98
Cashflows at the End of Period	34,558	211,374	510,242	853,304	1,245,69	2,218,75	3,249,28	4,340,53	5,495,98	6,719,26

Expected Balance Sheet

The balance sheet is one of the main statements which the project depends on, as it reflects the financial position of the entity and is usually estimated on the last day of the financial year.

All financial information and analysis of the project shall be the estimated for the years (2018-2027) as shown in the table below:

Table 37: Expected Balance Sheet

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Assets										
Current Assets										
Cash	34,558	211,374	510,242	853,304	1,245,690	2,218,758	3,249,282	4,340,537	5,495,981	6,719,264

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Inventory	729	1,189	1,350	1,421	1,496	1,575	1,658	1,745	1,837	1,934
Accounts Receivable	0	0	0	0	0	0	0	0	0	0
Total current Assets	35,287	212,563	511,592	854,726	1,247,186	2,220,333	3,250,940	4,342,282	5,497,818	6,721,198
Non Current Assets										
Fixed Assets (net)	3,026,291	2,913,562	2,799,686	2,684,635	2,568,382	2,450,898	2,332,153	2,212,116	2,090,756	1,968,042
Total Non Current Assets	3,026,291	2,913,562	2,799,686	2,684,635	2,568,382	2,450,898	2,332,153	2,212,116	2,090,756	1,968,042
Total Assets	3,061,578	3,126,125	3,311,278	3,539,361	3,815,568	4,671,231	5,583,093	6,554,398	7,588,574	8,689,240
Liabilities	-	-	-	-	-					
Current Liabilities										
Paybles	60,834	75,333	81,567	85,351	89,313	93,462	97,807	102,357	107,122	112,112
Remaining amount of Loan	367,963	402,846	441,036	482,846	0-	0-	0-	0-	0-	0
Total current Liabilities	428,797	478,179	522,603	568,197	89,313	93,462	97,807	102,357	107,122	112,112
Non Current Liabilities										
Long Terms Loans	1,326,727	923,881	482,846	0	0	0	0	0	0	0
Total Long Term Liabilities	1,326,727	923,881	482,846	0	0	0	0	0	0	0

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total Liabilities	1,755,524	1,402,060	1,005,449	568,197	89,313	93,462	97,807	102,357	107,122	112,112
Owners Equity										
Shareholders	1,353,860	1,353,860	1,353,860	1,353,860	1,353,860	1,353,860	1,353,860	1,353,860	1,353,860	1,353,860
Contributions										
Statutory Reseve	0	41,801	99,978	166,511	242,020	327,171	417,923	514,599	617,540	727,107
Retained Profits	47,806-	328,404	851,992	1,450,793	2,130,374	2,896,737	3,713,502	4,583,582	5,510,053	6,496,160
Total Equity	1,306,054	1,724,065	2,305,829	2,971,164	3,726,255	4,577,769	5,485,286	6,452,041	7,481,453	8,577,128
Total Liabilities and Equity	3,061,578	3,126,125	3,311,278	3,539,361	3,815,568	4,671,231	5,583,093	6,554,398	7,588,574	8,689,240

Feasibility Indicators

There are more than one method to calculate the discounted cash flow statement. However, in this study, WACC was used to calculate the discounted cash flows and net investment value. The Company's financing structure is based on equity and loans, therefore the discounted rate should be adjusted according to WACC based on the following assumptions, the following table illustrates the net expected free cash flow of the project:

Table 38: Free Net Cash flows Table

Net Cashflows	Before Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	القيمة المالية
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Net Free Cashflows	-3,384,651	347,96	705,43	827,48	871,68	921,00	973,06	1,030,5	1,091,2	1,155,4	1,223,2	15,951,337
Discount Factor	1.00	0.80	0.71	0.64	0.57	0.51	0.45	0.40	0.36	0.32	0.29	0.29
Net Present Value for Cash	-3,384,651	277,51	502,44	526,34	495,15	467,22	440,83	416,93	394,29	372,83	352,50	4,596,632
Flows		8	4	2	5	0	9	7	0	3	9	

Table below illustrates payback period for the project, as it is one of the indicators which investors care about before taking the investment decision as they need to know when the project will return the invested amount of money. Payback period definition is the total required period so that the project generates a total money equal to the total invested capital expenditure, as investor is always looking to return the full invested amount of money at the earliest possible.

Table 39: Payback Period

Payback Period	Before Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net Free Cashflows	-3,384,651	347,967	705,436	827,487	871,68	921,005	973,069	1,030,524	1,091,255	1,155,444	1,223,283
Project Value	3,384,651	3,036,68	2,331,24	1,503,76	632,07	288,926	1,261,995	2,292,518	3,383,773	4,539,217	5,762,500
Returned		4	8	1	9	-	-	-	-	-	-
Payback Period (Year)	4	1	1	1	1	0	0	0	0	0	0

Table 40: Financial Analysis Results

Weighted Average Cost of Capital (WACC)	%11.98
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Net Present Value for Cashflows	5,458,067
Payback Period	4
Internal Rate of Return	%28.85

Sensitivity Analysis

Sensitivity analysis is conducted to investigate the effects of changes in significant inputs of the financial analysis. This includes changes in revenues, total investment costs, and operating costs.

Table 3 Sensitivity Analysis

Sensitivity Analysis	Internal Rate of Return	Payback Period	WACC
Original Scenario	%28.85	4	11.98%
Revenues declined by 10%	%25.56	5	11.98%
Operating Expenses Increased by 10%	%27.60	4	11.98%

Conclusions and Recommendations

Based on the profitability analysis and considering that project internal rate of return is higher than WACC, it is concluded that the project is feasible as the net present value for the project is positive 5,458,067 Jordan Dinars considering that the project provides 62 Job Opportunities for the governorate residents.